LIQUIDITY NEEDS

The fifth element in the RRTTLLU is Liquidity Requirements. We will understand how much liquid assets do you have and how much do you actually need? Before we get into this, let us first understand, what exactly do we mean by liquidity. Liquidity of an asset is our ability to sell the asset and get it converted to cash, at a short notice, and at full price.

CONDITIONS FOR AN ASSET TO BE TRULY LIQUID

CASH CONVERSION
One should receive cash on sale that can be used elsewhere

SHORT NOTICE
One should be able to sell asset at a short notice to a willing buyer

FULL PRICE
One shouldn't have to offer any discount for quick cash conversion

ILLIQUID ASSETS

HOUSE

CAR

LIQUID ASSETS

FIXED DEPOSIT

GOLD

SHARES

Now we come to the importance of liquidity of assets. Cash is required to pay for all our expenses and most liabilities, meet a majority of our financial goals, and also deal with spontaneous emergencies. Hence, we must be able to convert our assets into cash at a short notice. Assets need to be liquid enough to meet our liquidity needs. Sadly though, assets that are more liquid, generally generate lower returns. As a result, the entire asset base cannot be liquid. There has to be a balance wherein the assets are liquid enough to meet our needs and simultaneously not too much to get us lower returns.

In the lazy canvas, we will first look into our current asset liquidity status and then hop onto estimate how much of the liquid assets we would need for ourselves. We will provide for these in the Lazy Financial Plan based on the needs mentioned.